

Who Is the Next Luxury Consumer?

Why do young consumers prefer emerging fashion brands? What should brands do next?

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Independent Portfolio Project . August 2026

Consumer research . Strategic thinking . Fashion business



The next luxury consumer is not an age bracket.

They are an identity-led value auditor.

They learn through their culture, challenge the cost, examine the evidence, and purchase the brand that allows them to make a statement.

THE SHIFT

From inherited
status

To earned
relevance

A behavioural study, not a demographic profile.

RESEARCH QUESTION

Why are younger consumers choosing emerging fashion brands instead of established luxury brands?

LENS

Consumer behaviour · social media · price perception · identity · community · exclusivity · sustainability · cultural relevance

METHOD

Secondary research synthesis: 2025–2026 industry reports, consumer surveys, academic research and observed brand cases.

OUTPUT

Three insights translated into actionable brand steps and measurable tests.

HOW THE RESEARCH WAS BUILT

Source selection and synthesis

SELECT

Prioritised recent 2025–2026 sources directly related to luxury, Gen Z, value, discovery and community.

VERIFY

Used original industry reports, named consumer surveys, established business journalism and peer-reviewed research. Major statistics were checked against their primary source.

SYNTHESISE

Grouped recurring evidence into three themes: discovery and trust, price and proof, and exclusivity and belonging.

TRANSLATE

Converted each theme into a consumer insight, brand implication and measurable test.

Limitation: This is a directional secondary-research synthesis. It does not include original interviews, surveys or access to brand sales data.

Luxury has an acquisition problem, not an awareness problem.

The addressable audience grew, yet participation fell.

330M

active luxury clients in
2025

down from 400M in 2022

40–45%

of addressable
consumers purchased

vs. ~60% in 2022

–5%

new client recruitment

versus 2024

[Source: Bain & Company, Finding a New Longevity for Luxury \(2025\).](#)

Discovery is democratic. Trust is scarce.

DISCOVERY

**Social media + cultural
relevance**

“I can find anything—but what deserves
my trust?”

VALUE

**Price perception +
sustainability**

“Show me why this deserves the
premium.”

BELONGING

**Identity + community +
exclusivity**

“Let me belong without looking like
everyone else.”

Discovery is democratic. Trust is scarce.

EVIDENCE

In McKinsey's 2026 consumer survey, 34% of Gen Z respondents said social media played a key role in purchase decisions. However, a crowded feed can give emerging brands visibility without automatically creating credibility.

Source: [McKinsey, State of the Consumer 2026](#);
[Kantar, The Alchemy of Luxury](#).

WHAT IT MEANS

For an emerging brand, the opportunity is to act less like an advertisement and more like a credible cultural resource.

BRAND IMPLICATION

- 01 Build credibility through fittings, production processes and founder-led decisions not only polished advertising.**
- 02 Repeat one recognisable viewpoint across product, casting and language.**
- 03 Work with micro-creators as cultural translators; measure saves, meaningful comments and assisted conversions.**

Price is no longer accepted as proof of luxury.

EVIDENCE

Bain links the decline in aspirational luxury customers to high prices and weak differentiation. Younger consumers may remain receptive to luxury, but they evaluate durability, versatility, craftsmanship and entry price more carefully.

Source: [Bain & Company \(2025\)](#);
[Reuters \(2025\)](#).

WHAT IT MEANS

Premium price requires reasons, not a heritage license.

BRAND IMPLICATION

- 01 Create a clear “why it costs what it costs” product layer: materials, labour time, manufacturing process and after-sales care.**
 - 02 Develop one iconic entry-level piece that carries the brand’s full design codes rather than relying only on a logo.**
 - 03 Design it for multiple use tests; price confidence and cost per wear content should be tested too.**
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Exclusivity now means insider access.

EVIDENCE

Young luxury consumers increasingly view luxury as an experience and use purchases to express identity. Emerging luxury brands can create belonging through participation, cultural specificity and proximity to the brand's creator.

Source: [Kantar, The Alchemy of Luxury; Reuters \(2025\)](#).

WHAT IT MEANS

The new status signal is knowing, joining and contributing before everyone else.

BRAND IMPLICATION

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- 01 Abandon anonymous VIP talk and create micro-communities based on shared tastes.**
 - 02 Create exclusivity through studio access, waitlists, and member voting instead of artificial scarcity.**
 - 03 Reward participation with access: previews, repair, customization and intimate local experiences.**
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Turn insight into a three-part growth system.

01 EARN ATTENTION

Cultural signal

A distinctive idea people want to pass on.

MEASURE

Creator saves . organic shares

02 PROVE THE PREMIUM

Product evidence

Construction, use and traceability made visible.

MEASURE

Price confidence . returns

03 CREATE BELONGING

Insider access

Small rituals that turn buyers into participants.

MEASURE

Waitlist quality . repeat rate

Strategy rule: every campaign should answer “Why notice?”, “Why believe?” and “Why join?”

Application: “The Founding 100” limited drop.

A 30-day test for an emerging fashion label

WEEK 1

TEASE

Show one design decision per day.
No full product reveal.

WEEK 2

PROVE

Maker-led fittings, material proof and cost logic.

WEEK 3

INVITE

Open a waitlist for 100 people through creator codes.

WEEK 4

DROP + LISTEN

Numbered release; buyers vote on the next colour or detail.

SUCCESS TEST

Qualified waitlist → conversion → repeat engagement → community contribution

CONCLUSION

**Emerging brands do not win
because they are smaller.**

**They succeed when they make luxury easier to
discover, easier to trust and more meaningful to join.**

SKILLS DEMONSTRATED

Consumer research . Insight generation . Fashion business . Strategic recommendation

Project notes and authorship.

PROJECT

Who Is the Next Luxury Consumer?

Independent Portfolio Project
Drashti Patel . August 2026

PORTFOLIO DESCRIPTION

Independent consumer insight study to understand the reasons behind the rise of younger luxury consumers' interest in emerging fashion brands. The study converts secondary research related to social discovery, pricing perception, brand identity, and community into three strategies for fashion brands.

RESEARCH DISCLOSURE

This is a secondary-research study. It does not include original consumer interviews or surveys. The findings were synthesised from industry reports, published consumer surveys, journalism and publicly available academic research.

AI-USE DISCLOSURE

AI-based tools have helped in visualizing and presenting the research. Research interpretation and insights have been created for this independent portfolio project.

Selected sources.

The study uses secondary research. Full URLs are included for transparency; all sources were accessed in August 2026.

01	Bain & Company (2025)	Finding a New Longevity for Luxury: Bain–Altagamma Luxury Goods Worldwide Market Study.	bain.com/insights/finding-a-new-longevity-for-luxury/
02	McKinsey & Company (2026)	State of the Consumer 2026: When Tech Acceleration and Cost Pressures Collide.	mckinsey.com/industries/consumer-packaged-goods/our-insights/state-of-consumer
03	Kantar (2025)	The Alchemy of Luxury: Where Gen Z Fuses Sustainability, Storytelling, and Self-Image.	kantar.com/inspiration/sustainability/the-alchemy-of-luxury-where-gen-z-fuses-sustainability-storytelling-and-self-image
04	Reuters (2025)	Luxury Brands’ Big Challenge: Figuring Out Gen Z.	reuters.com/business/retail-consumer/luxury-brands-big-challenge-figuring-out-gen-z-2025-09-19/
05	Qian, W. (2025)	Gen Z resistance to sustainable luxury products. Asia Pacific Journal of Marketing and Logistics.	doi.org/10.1108/APJML-03-2025-0482